

Unemployment insurance reciprocity: a comprehensive literature review

The share of unemployed Americans receiving unemployment insurance (UI) benefits has fallen dramatically over five decades—from roughly 50% in the 1950s to below 25% by the mid-2010s—driven by a confluence of federal tax policy changes, state-level eligibility tightening, declining unionization, shifting workforce composition, and rising employer contestation of claims. This secular decline has profound implications for the program's capacity to smooth consumption, stabilize aggregate demand, and reduce inequality. A massive temporary reversal occurred during the COVID-19 pandemic, when new federal programs pushed reciprocity above 70%, but by 2022 rates returned to historic lows. (PubMed Central) This review synthesizes more than 35 key studies spanning 1983–2025, covering measurement, trends, determinants, policy design, recession dynamics, international comparisons, and labor market consequences.

Measuring UI reciprocity: definitions matter enormously

The literature employs several distinct measures of UI reciprocity, and conclusions about the health of the program depend critically on which is used. The most common measures are:

- **IUR (Insured Unemployment Rate):** weekly insured unemployed (continued claims) divided by covered employment
- **CC/CE and IC/CE ratios:** covered or insured claimants to covered employment
- **RUIR or reciprocity rate:** UI beneficiaries divided by total unemployed (from the CPS)
- **Alternative denominators:** job losers only, short-term job losers, or simulated eligible populations

Wandner & Stengle (1997) provided the definitive framework for measurement by developing six alternative reciprocity measures (R-1 through R-6). Their key insight was that the standard rate (total beneficiaries / total unemployed) is arguably misleading because the denominator includes new entrants, reentrants, and voluntary leavers that UI was never designed to cover.

(Bureau of Labor Statistics) Their **R-6 measure**—all-program weeks claimed divided by job losers unemployed fewer than 27 weeks—showed that UI covered more than four-fifths of short-term job losers, (Bureau of Labor Statistics) a far more favorable picture than the standard 25–30% rate suggests. (Bureau of Labor Statistics)

Full citation: Wandner, Stephen A., and Thomas Stengle. 1997. "Unemployment Insurance: Measuring Who Receives It." *Monthly Labor Review* 120(7): 15–24. **Link:** <https://www.bls.gov/opub/mlr/1997/07/art2full.pdf> **Methodology:** Developed six alternative

reciprocity measures using different numerator-denominator combinations **Data:** DOL/ETA administrative data and BLS CPS, 1967–1996, national scope **Question:** How should UI reciprocity be properly measured? **Findings:** All six measures declined sharply in the early 1980s; (Bureau of Labor Statistics) the choice of measure dramatically affects conclusions about program performance

Wittenburg et al. (1999) produced the definitive meta-review for the DOL, critically assessing all prior studies and defining four standardized reciprocity measures. (Economic Policy Institute) (Doleta) They found "large differences" in estimated effects across studies due to methodological variation (Doleta) but concluded that administrative and policy changes could explain a "large portion" of reciprocity declines. (Economic Policy Institute)

Full citation: Wittenburg, David C., Michael Fishman, David Stapleton, Scott Scrivner, and Adam Tucker. 1999. *Literature Review and Empirical Analysis of Unemployment Insurance Reciprocity Ratios*. Occasional Paper 99-7. Washington, DC: The Lewin Group/U.S. DOL. **Link:** https://oui.doleta.gov/dmstree/op/op99/op_07-99.pdf **Methodology:** Comprehensive literature review plus original empirical analysis tracking four reciprocity measures **Data:** DOL administrative data and CPS, 1970s–1990s, national and state-level **Question:** What is the state of knowledge about the decline in UI reciprocity? **Findings:** No consensus on the relative importance of different factors; methodological differences across studies are substantial

The secular decline: what five decades of research reveal

The puzzle emerges

Burtless (1983) was the first to sound the alarm. Comparing the 1975 and 1981–82 recessions, he found that roughly 78% of the unemployed received some form of UI in 1975, but only 45% did in 1982. (brookings) (UPI) Legislative changes (elimination of the national Extended Benefits trigger) accounted for about 60% of the decline, but a significant residual remained unexplained. (UPI) This paper launched an entire research agenda.

Full citation: Burtless, Gary. 1983. "Why Is Insured Unemployment So Low?" *Brookings Papers on Economic Activity* 1983(1): 225–254. **Link:** <https://doi.org/10.2307/2534356> **Methodology:** Decomposition of IUR/TUR ratio into component factors **Data:** DOL administrative data and CPS, 1950s–1982, national **Question:** Why was insured unemployment unusually low relative to total unemployment in the early 1980s recession? **Findings:** Legislative changes explained ~60% of the decline; the remainder was attributed to unexplored factors including two-earner families, pension offsets, and benefit taxation

Corson & Nicholson (1988) advanced the decomposition by using state-level data, finding that state policy tightening (stricter monetary eligibility, higher disqualification rates) explained

about **40%** of the decline, federal taxation of benefits accounted for **11-16%**, and geographic/industry shifts explained **5-20%**. (Bureau of Labor Statistics) A significant unexplained residual persisted.

Full citation: Corson, Walter, and Walter Nicholson. 1988. "An Examination of Declining UI Claims During the 1980s." UI Occasional Paper 88-3. Washington, DC: U.S. DOL/ETA. **Link:** Referenced in DOL archives; discussed extensively in Wittenburg et al. (1999) at https://oui.doleta.gov/dmstree/op/op99/op_07-99.pdf **Methodology:** State-level empirical decomposition **Data:** State-level UI administrative and CPS data, late 1970s–mid-1980s **Question:** What caused the sharp 1980s drop in UI reciprocity? **Findings:** State policy tightening (~40%), federal taxation (~11-16%), geographic/industry composition (~5-20%)

The pivotal Blank & Card contribution

Blank & Card (1991) produced what remains the most cited paper in this literature. Using PSID microdata matched with state eligibility rules, they constructed an eligibility simulation algorithm and decomposed the reciprocity rate into an eligibility component and a takeup-among-eligibles component. (Bureau of Labor Statistics) Their central finding was striking: **the fraction of unemployed workers eligible for UI remained roughly constant** over 1977–1987—the entire decline was driven by falling takeup among eligible workers. (ResearchGate) Declining unionization explained about **25%** of the takeup decline, (Economic Policy Institute) and regional composition shifts explained up to half of the variation.

Full citation: Blank, Rebecca M., and David E. Card. 1991. "Recent Trends in Insured and Uninsured Unemployment: Is There an Explanation?" *Quarterly Journal of Economics* 106(4): 1157–1189. **Link:** <https://www.nber.org/papers/w2871> (NBER WP); DOI: <https://doi.org/10.2307/2937960> **Methodology:** Eligibility imputation algorithm using PSID matched with state UI rules; decomposition into eligibility vs. takeup components **Data:** PSID and CPS, 1977–1987, national with state variation **Question:** Was the reciprocity decline driven by eligibility changes or takeup changes? **Findings:** Eligibility was stable; the decline was entirely in takeup among eligibles. One-third of eligible non-filers cited "government red tape," one-third said they didn't need the money, and one-tenth didn't know they could apply

(Bureau of Labor Statistics)

The taxation explanation

Anderson & Meyer (1997) resolved much of the remaining puzzle. Using administrative employer-employee matched records, they estimated the causal effect of benefit levels, duration, and tax treatment on the claiming decision. They found a **strong benefit elasticity of takeup** (~**0.46-0.78**) and showed through simulations that the federal income taxation of UI benefits—phased in from 1978 to 1987—could account for **most of the previously unexplained decline** in reciprocity. (IDEAS/RePEc) This remains the most influential paper on UI takeup determinants.

Full citation: Anderson, Patricia M., and Bruce D. Meyer. 1997. "Unemployment Insurance Takeup Rates and the After-Tax Value of Benefits." *Quarterly Journal of Economics* 112(3): 913–937. **Link:** <https://doi.org/10.1162/003355397555389>; NBER WP: <https://www.nber.org/papers/w4787> **Methodology:** Logit models of claiming probability using administrative employer-employee matched data; counterfactual simulation **Data:** Administrative wage records linked to UI claims in multiple states, 1978–1983 **Question:** Can the taxation of UI benefits explain the unexplained decline in takeup? **Findings:** Benefit elasticity of ~0.5; taxation of benefits accounts for most of the unexplained 1980s decline; overall takeup ~45% among separating workers (Upjohn)

McCall (1995) had earlier documented a significant positive effect of benefit levels on takeup, confirming that the extensive margin (whether to claim) is responsive to generosity—not just the intensive margin (claim duration). (Korykroft)

Full citation: McCall, Brian P. 1995. "The Impact of Unemployment Insurance Benefit Levels on Reciprocity." *Journal of Business & Economic Statistics* 13(2): 189–198. **Link:** <https://doi.org/10.1080/07350015.1995.10524592> **Methodology:** Logit models of UI receipt conditional on likely eligibility **Data:** NLSY, mid-1980s–early 1990s, national **Question:** Does benefit generosity affect takeup among eligibles? **Findings:** Significant positive effect of benefit levels on reciprocity

The role of unions, employers, and firm-side deterrence

Unions facilitate claiming

Budd & McCall (1997) showed that among eligible blue-collar workers, those laid off from union jobs were **23% more likely** to receive UI benefits than comparable nonunion workers—consistent with unions playing an information and facilitation role. Among white-collar workers, unions had no significant effect. (Sage Journals)

Full citation: Budd, John W., and Brian P. McCall. 1997. "The Effect of Unions on the Receipt of Unemployment Insurance Benefits." *Industrial and Labor Relations Review* 50(3): 478–492. **Link:** <https://doi.org/10.1177/001979399705000306> **Methodology:** Probit/logit models of UI receipt with union status as key variable **Data:** NLSY, 1979–1991, national **Question:** Do unions increase UI benefit receipt among eligibles? **Findings:** Union blue-collar workers 23% more likely to receive UI; mechanism is information/facilitation rather than supplemental benefits

Employers actively deter claims

Lachowska, Sorkin & Woodbury (2022/2025) introduced a transformative employer-side perspective using an AKM-style two-way fixed effects model. They found **substantial firm**

effects on both UI claiming and appeals, (Upjohn) with a strong negative correlation—firms that appeal more have lower claim rates, consistent with deterrence. (Upjohn) (NBER) Low-wage workers are ~20 percentage points less likely to claim and twice as likely to have claims appealed, with employer effects explaining a large share of these income gradients. (Upjohn) Critically, the **dominant source of targeting error** in UI is that 28% of eligible workers do not claim, while only 5% of ineligible workers mistakenly receive benefits. (Upjohn +2)

Full citation: Lachowska, Marta, Isaac Sorkin, and Stephen A. Woodbury. 2025. "Employers and Unemployment Insurance Take-Up." *American Economic Review* 115(8): 2529–2573.

(American Economic Associ...)

Link: <https://www.nber.org/papers/w30266>;

<https://doi.org/10.1257/aer.20230195> **Methodology:** AKM-style two-way fixed effects

decomposition of UI claims and appeals **Data:** Washington State administrative records, 2005–2013, universe of separations **Question:** What role do employers play in UI take-up?

Findings: Firm effects are substantial and explain income-gradient gaps; high-claiming, low-appealing firms are "desirable" employers

Auray & Fuller (2020) formalized the employer deterrence mechanism in an equilibrium search model, estimating that firm challenges account for **41%** of total UI collection costs.

(Université Nice Sophia Anti...) Eliminating all firm challenges would increase take-up by **5.1 percentage points**.

Full citation: Auray, Stéphane, and David L. Fuller. 2020. "Eligibility, Experience Rating, and Unemployment Insurance Take-Up." *Quantitative Economics* 11(3): 1059–1107. **Link:**

<https://onlinelibrary.wiley.com/doi/full/10.3982/QE940> **Methodology:** Equilibrium search model with endogenous firm challenges; validated using state-level data with two-way FE

Data: CPS March Supplement with state UI criteria, 2002–2015; DOL BAM data on improper denials **Question:** How do experience-rated taxes and firm challenges affect take-up?

Findings: Average take-up 73.4% (2002–2015); (Wiley Online Library) firm challenges = 41% of collection costs; eliminating challenges raises take-up 5.1 pp

Racial inequality and demographic disparities in UI access

A surge of recent research has documented large, persistent racial disparities in UI access. **Kuka & Stuart (2025)** provided the most rigorous evidence: Black individuals who separate from a job are **30% less likely to receive UI** and receive **46% fewer total benefits** than White individuals—

(ScienceDirect) a gap stable over nearly 30 years. This gap stems primarily from lower take-up among eligible individuals, not eligibility differences. (NBER) About **37% of the receipt gap** is explained by lower pre-unemployment earnings (ScienceDirect) and geographic concentration in the South. (Fedinprint)

Full citation: Kuka, Elira, and Bryan A. Stuart. 2025. "Racial Inequality in Unemployment Insurance Receipt." *Journal of Public Economics* 251: 105493. **Link:**

<https://doi.org/10.3386/w29595> (NBER WP 29595) **Methodology:** Gelbach decomposition with simulated eligibility using SIPP and state UI laws **Data:** SIPP, 1986–2015; state-level UI laws **Question:** Are there racial gaps in UI receipt, and what explains them? **Findings:** Black workers 30% less likely to receive UI; 55% takeup among White eligibles vs. 42% among Black eligibles; gap driven by takeup, not eligibility (Federal Reserve Bank of Ph...)

Skandalis, Marinescu & Massenkoff (2022) approached the question from the benefit-entitlement side using DOL Benefit Accuracy Measurement audit data, finding an **18.3% gap in UI entitlements** between Black and White claimants. After controlling for work history, state rules alone create an **8.4% racial gap** because Black claimants disproportionately reside in less generous states. (NBER)

Full citation: Skandalis, Daphné, Ioana Marinescu, and Maxim N. Massenkoff. 2022. "Racial Inequality in the U.S. Unemployment Insurance System." NBER Working Paper 30252. **Link:** <https://www.nber.org/papers/w30252> **Methodology:** Decomposition using nationally representative DOL BAM audit data **Data:** DOL BAM data, all U.S. states **Question:** How do state UI rules contribute to racial inequality? **Findings:** 18.3% racial entitlement gap; 8.4% attributable to state rules alone; geographic distribution is key driver (IDEAS/RePEc)

Gould-Werth & Shaefer (2012) documented that disadvantaged workers (racial minorities, low-educated) are less likely to apply for UI, (Scholars Strategy Network) with perceived ineligibility as the main cited reason. **Parolin, Cross & O'Brien (2023)** showed that administrative burdens in UI have *increased* over 1990–2019, disproportionately affecting Black and Latino families.

(Russell Sage Foundation)

Full citation: Gould-Werth, Alix, and H. Luke Shaefer. 2012. "Unemployment Insurance Participation by Education and by Race and Ethnicity." *Monthly Labor Review* 135(10): 28–41. **Link:** <https://www.bls.gov/opub/mlr/2012/10/art3full.pdf>

Full citation: Parolin, Zachary, Christina J. Cross, and Rourke O'Brien. 2023. "Administrative Burdens and Economic Insecurity Among Black, Latino, and White Families." *RSF: The Russell Sage Foundation Journal of the Social Sciences* 9(5): 56–75. **Link:** <https://doi.org/10.7758/RSF.2023.9.5.03>

Program design, eligibility rules, and why convenience alone is not enough

Eligibility modernization matters

Gould-Werth & Shaefer (2013) showed that alternative base period (ABP) provisions—which use more recent earnings quarters to determine eligibility—increased UI receipt among workers without high school diplomas by **2.8 percentage points**. A 2024 study in *Social Service Review* found ABPs increased takeup by approximately **5 percentage points** overall, with part-time work provisions boosting takeup among previously part-time workers by ~6 pp.

Full citation: Gould-Werth, Alix, and H. Luke Shaefer. 2013. "Do Alternative Base Periods Increase Unemployment Insurance Receipt Among Low-Educated Unemployed Workers?" *Journal of Policy Analysis and Management* 32(4): 835–852. **Link:** Available via Wiley/JPAM

Inconvenience is not the binding constraint

Ebenstein & Stange (2010) exploited the staggered introduction of telephone and Internet-based UI filing across states in the 1990s–2000s to test whether reduced application inconvenience increased takeup. (NBER) Their finding was stark: remote filing had **no appreciable impact** on UI takeup or recipient composition, suggesting the barriers are deeper than transaction costs—information, stigma, and employer deterrence likely matter more.

(Wiley Online Library)

(University of Michigan Libr...)

Full citation: Ebenstein, Avraham, and Kevin Stange. 2010. "Does Inconvenience Explain Low Take-Up? Evidence from Unemployment Insurance." *Journal of Policy Analysis and Management* 29(1): 111–136. **Link:** <https://doi.org/10.1002/pam.20481> **Methodology:** Difference-in-differences exploiting state adoption of phone/Internet filing **Data:** State-level UI data, all 50 states, 1989–2006 **Question:** Does making filing more convenient increase takeup? **Findings:** No significant effect; inconvenience is not the primary barrier

Interstate variation remains extreme

Vroman (2001) conducted the most comprehensive DOL-commissioned assessment of interstate variation, finding that no single factor explains differences between low and high reciprocity states, but that (Economic Policy Institute) the rate of **misconduct determinations** was particularly important—states aggressively investigating misconduct had lower reciprocity.

(Urban Institute)

Full citation: Vroman, Wayne. 2001. *Low Benefit Reciprocity in State Unemployment Insurance Programs*. ETA Occasional Paper 2002-02. Washington, DC: Urban Institute/U.S. DOL. **Link:** <https://www.urban.org/research/publication/low-benefit-reciprocity-state-unemployment-insurance-programs>

The CEA (2024) found that state differences in "potential eligibility" explain only **11%** of reciprocity rate variation; using actual benefit duration maximums explains 29%. Most variation stems from other state policy and administrative choices. Reciprocity rates in 2023 ranged from **10% (Kentucky) to 55% (Minnesota)**.

Full citation: Council of Economic Advisers. 2024. "Improving Access to Unemployment Insurance." White House CEA Report, December 19, 2024. **Link:** <https://bidenwhitehouse.archives.gov/cea/written-materials/2024/12/19/improving-access-to-unemployment-insurance/>

O'Leary et al. (2024) provided the most recent comprehensive decomposition, finding the continued decline stems largely from changes in the industrial/occupational mix of employment interacting with UI program features. (Sage Journals)

Full citation: O'Leary, Christopher J., Kenneth J. Kline, Thomas A. Stengle, and Stephen A. Wandner. 2024. "Why Are Unemployment Insurance Claims So Low?" *Economic Development Quarterly*. DOI: 10.1177/08912424241256643. **Link:** <https://doi.org/10.1177/08912424241256643>

The Great Recession exposed structural weaknesses

During the 2007–2009 recession, UI reciprocity rose but **never exceeded 40%** even at its peak—(Federal Reserve Bank of Ri...) well below the 78% reached in the 1975 recession. The Emergency Unemployment Compensation (EUC08) program, operating June 2008 through December 2013, (Brookings) covered up to **5.4 million weekly recipients** at its peak in 2010 and benefited nearly 24 million workers total. (PubMed Central)

Vroman (2018) documented that from 2012 to 2016, the average reciprocity rate was about **25% below its 2004–2007 average**. (Urban Institute) Three factors drove this: several states shortened maximum benefit durations below 26 weeks, states increased denial rates for non-separation issues, and administrative changes raised barriers. The ~8–9 states that cut maximum weeks accounted for roughly **30%** of the national reciprocity decline. (National Employment Law ...)

Full citation: Vroman, Wayne. 2018. "Unemployment Insurance Benefits: Performance Since the Great Recession." Washington, DC: Urban Institute. **Link:** <https://www.urban.org/research/publication/unemployment-insurance-benefits>

Chodorow-Reich & Coglianesse (2019) analyzed UI's role as a macroeconomic stabilizer, finding the automatic Extended Benefits component played "almost no role historically" and proposing five reforms including expanded eligibility and fully federally financed EB. (Harvard) (Harvard)

Full citation: Chodorow-Reich, Gabriel, and John Coglianesse. 2019. "Unemployment Insurance and Macroeconomic Stabilization." In *Recession Ready*, edited by Boushey, Nunn, and Shambaugh, 153–179. Washington, DC: Brookings. **Link:** <https://www.brookings.edu/articles/unemployment-insurance-and-macroeconomic-stabilization/>

The NELP (2017) report documented that the reciprocity rate dropped **25%** from 36% (2007) to 27% (2016), with 12 states falling below 20% reciprocity (up from 2 in 2007). Nine states cut maximum durations below 26 weeks; (Economic Policy Institute) (National Employment Law ...) non-separation denials reached unprecedented levels. (National Employment Law ...)

Full citation: Wentworth, George, and Claire McKenna. 2017. *Closing Doors on the Unemployed*. New York: NELP. **Link:** <https://www.nelp.org/publication/closing-doors-on-the-unemployed/>

The **EPI (2015)** reported that the reciprocity rate fell to a record low of **23.1% in December 2014**, below even the previous 1984 trough. (Economic Policy Institute)

Full citation: Shierholz, Heidi, and Rachel West. 2015. "How Low Can We Go?" EPI Briefing Paper #392. **Link:** <https://www.epi.org/publication/how-low-can-we-go-state-unemployment-insurance-programs-exclude-record-numbers-of-jobless-workers/>

COVID-19 produced a historic but temporary reversal

The CARES Act (March 2020) created the largest UI expansion since 1935. (PubMed Central) (National Employment Law ...) Pandemic Unemployment Assistance (PUA) extended coverage to self-employed, gig, and part-time workers for the first time; (The Yale Law Journal) Federal Pandemic Unemployment Compensation (FPUC) added \$600/week; and Pandemic Emergency Unemployment Compensation (PEUC) extended regular benefit durations. (Archyde) (PubMed Central)

Ferrara (2023) documented that the average reciprocity rate jumped from **28% in 2019 to approximately 70% in 2020**, peaking near 90% in Q2–Q3 2020, before declining to 36% in 2021 and 25% in 2022—a full return to pre-pandemic lows. (PubMed Central)

Full citation: Ferrara, Federico M. 2023. "U.S. Unemployment Insurance Through the Covid-19 Crisis." *Structural Change and Economic Dynamics* 65: 171–190. **Link:** <https://pmc.ncbi.nlm.nih.gov/articles/PMC10131886/>

Kuka & Stuart (2023) developed an individual-level eligibility algorithm for pandemic-era data, finding that **88% of eligible individuals received UI** during the first pandemic year—**98% for standard UI** but only **76% for PUA**, revealing significant gaps in the new program's reach.

(University of Chicago Press)

Full citation: Kuka, Elira, and Bryan A. Stuart. 2023. "Unemployment Insurance Reciprocity During the Covid-19 Pandemic." *National Tax Journal* 76(2): 291–325. **Link:** <https://doi.org/10.1086/724589>

Ganong, Noel & Vavra (2020) showed the \$600 FPUC supplement pushed the median replacement rate to **134%**, with two-thirds of eligible workers receiving above 100% of prior earnings. (PubMed Central) This produced strong consumption-smoothing effects but ignited debates about labor supply disincentives.

Full citation: Ganong, Peter, Pascal Noel, and Joseph Vavra. 2020. "US Unemployment Insurance Replacement Rates During the Pandemic." NBER Working Paper 27216; *Journal of*

Public Economics 191: 104273. **Link:** <https://www.nber.org/papers/w27216>

Bitler, Hoynes & Kuka (2021) found that states with higher pre-pandemic reciprocity rates had higher pandemic-era success rates, demonstrating that **pre-existing administrative capacity and policy choices persisted** even during an emergency expansion. (Bureau of Labor Statistics)

(Russell Sage Foundation)

Full citation: Bitler, Marianne, Hilary Hoynes, and Elira Kuka. 2021. "Applying for and Receiving Unemployment Insurance Benefits During the Coronavirus Pandemic." *Monthly Labor Review*, BLS. **Link:** <https://www.bls.gov/opub/mlr/2021/article/applying-for-and-receiving-unemployment-insurance-benefits-during-the-coronavirus-pandemic.htm>

Forsythe (2021) used UAS panel data to show that only **51% of temporarily laid-off workers** and fewer than **10% of active job searchers** reported receiving UI during the pandemic—far lower than administrative data suggested. (University of Illinois)

Full citation: Forsythe, Eliza. 2021. "Understanding Unemployment Insurance Reciprocity During the Covid-19 Pandemic." Working Paper, University of Illinois. **Link:** https://publish.illinois.edu/elizaforsythe/files/2021/03/Forsythe_UI_draft_march8_2021-1.pdf

The **GAO (2022)** added UI to its High Risk List, noting that estimated improper payments surged from **\$8 billion (9.2%)** in FY2020 to **\$78.4 billion (18.9%)** in FY2021, (U.S. GAO) and that 34% of states could not implement CARES Act provisions due to legacy IT systems. (U.S. GAO)

Full citation: U.S. GAO. 2022. *Unemployment Insurance: Transformation Needed*. GAO-22-105162. **Link:** <https://www.gao.gov/products/gao-22-105162>

Why eligible workers do not claim benefits

Ko & Moffitt (2022) produced the definitive cross-program literature survey on benefit takeup, (NBER) estimating U.S. UI takeup at approximately **62–83%** of eligible individuals (depending on study and period). They identify five categories of explanations: (1) low monetary gains, (2) stigma, (3) hassle costs, (4) imperfect information, and (5) administrative barriers/government errors. (SSRN)

Full citation: Ko, Wonsik, and Robert A. Moffitt. 2022. "Take-Up of Social Benefits." NBER Working Paper 30148; in Zimmermann (ed.), *Handbook of Labor, Human Resources and Population Economics*, Springer. **Link:** <https://www.nber.org/papers/w30148>

Wandner & Stettner (2000) synthesized CPS Non-Filer Supplement data, (Cambridge Core) finding that perceived ineligibility was the dominant reason for non-application—**51% of non-filers** in the 2005 supplement cited believing they would not receive benefits.

(National Employment Law ...)

(National Employment Law ...)

Full citation: Wandner, Stephen A., and Andrew Stettner. 2000. "Why Are Many Jobless Workers Not Applying for Benefits?" *Monthly Labor Review* 123(6): 21–33. **Link:** <https://www.bls.gov/opub/mlr/2000/06/art2full.pdf>

Vroman (1991) analyzed CPS Non-Filer data and estimated takeup among eligibles at roughly 53%—the lower bound of estimates in the literature (which range from 0.53 to 0.71 depending on methodology and period). (Korykroft) (ResearchGate)

Full citation: Vroman, Wayne. 1991. *The Decline in Unemployment Insurance Claims Activity in the 1980s*. UI Occasional Paper 91-2. Washington, DC: U.S. DOL/ETA.

Stigma, social multipliers, and the extensive margin

Moffitt (1983) introduced the foundational theoretical model of welfare stigma as a fixed disutility cost of program participation. (Semantic Scholar) The model predicts participation increases with benefit generosity but is reduced by stigma, and suggests stigma may be socially efficient as a screening device—though it can also deter the truly needy. (ScienceDirect)

Full citation: Moffitt, Robert. 1983. "An Economic Model of Welfare Stigma." *American Economic Review* 73(5): 1023–1035. **Link:** <https://ideas.repec.org/a/aea/aecrev/v73y1983i5p1023-35.html>

Kroft (2008) extended this framework to UI, (REPEC) showing that **social multiplier effects account for ~35%** of the total effect of benefits on takeup. When more people claim UI, the (Korykroft) stigma cost falls, creating positive feedback. Incorporating these peer effects yields an optimal replacement rate of ~60%, roughly 20 percentage points higher than estimates ignoring takeup.

Full citation: Kroft, Kory. 2008. "Takeup, Social Multipliers and Optimal Social Insurance." *Journal of Public Economics* 92(3–4): 722–737. **Link:** <https://doi.org/10.1016/j.jpubeco.2007.09.011>

Contini & Richiardi (2012) challenged the traditional view that stigma is welfare-improving, showing through agent-based simulation that stigma can paradoxically *increase* both unemployment and welfare duration by trapping those who do enter the system.

Full citation: Contini, Dalit, and Matteo Richiardi. 2012. "Reconsidering the Effect of Welfare Stigma on Unemployment." *Journal of Economic Behavior & Organization* 84(1): 229–244. **Link:** <https://doi.org/10.1016/j.jebo.2012.02.003>

UI reciprocity, consumption smoothing, and labor market outcomes

The consumption-smoothing benefit

Gruber (1997) established the foundational evidence: the average fall in food consumption upon unemployment is 7%, and without UI it would be more than three times larger. A 10 pp increase in the replacement rate reduces the consumption drop by 2.8%.

Full citation: Gruber, Jonathan. 1997. "The Consumption Smoothing Benefits of Unemployment Insurance." *American Economic Review* 87(1): 192–205. **Link:** <https://www.nber.org/papers/w4750>

East & Simon (2024) tracked all safety-net transfers after job displacement and found that 97% of cash/near-cash transfers in the two years following job loss come from UI, underscoring its dominant role. Programs collectively replace about 32% of lost income.

Full citation: East, Chloe N., and David Simon. 2024. "The Safety Net and Job Loss." *Journal of Public Economics* 238. **Link:** <https://ideas.repec.org/a/eee/pubeco/v238y2024ics0047272724001075.html>

Moral hazard versus liquidity

Chetty (2008) showed that 60% of the increase in unemployment durations caused by UI benefits reflects a beneficial "liquidity effect" (relaxing credit constraints) rather than moral hazard. This landmark paper introduced the sufficient statistics approach to optimal social insurance.

Full citation: Chetty, Raj. 2008. "Moral Hazard versus Liquidity and Optimal Unemployment Insurance." *Journal of Political Economy* 116(2): 173–234. **Link:** <https://doi.org/10.1086/588585>

Cyclicity of optimal UI

Kroft & Notowidigdo (2016) demonstrated that the moral hazard cost of UI is procyclical while the consumption-smoothing benefit is roughly acyclical. A one standard deviation increase in the unemployment rate raises the welfare-maximizing replacement rate by 14–27 percentage points, strongly supporting countercyclical UI generosity.

Full citation: Kroft, Kory, and Matthew J. Notowidigdo. 2016. "Should Unemployment Insurance Vary with the Unemployment Rate?" *Review of Economic Studies* 83(3): 1092–1124. **Link:** <https://doi.org/10.1093/restud/rdw009>

UI as automatic stabilizer

McKay & Reis (2021) showed theoretically that accounting for macroeconomic stabilization substantially raises the optimal replacement rate (from 0.746 to 0.824 in their calibration). Di

Maggio & Kermani (2016) provided direct empirical evidence: a one standard deviation increase in UI generosity reduces the elasticity of local car sales to labor demand shocks by **12–15%**.

Full citation: McKay, Alisdair, and Ricardo Reis. 2021. "Optimal Automatic Stabilizers." *Review of Economic Studies* 88(5): 2375–2406. **Link:** <https://doi.org/10.1093/restud/rdaa038>

The controversial macro effects of extensions

Hagedorn, Karahan, Manovskii & Mitman (2013/2025) argued that UI extensions raise equilibrium wages and contract vacancy creation, claiming the 2014 expiration of extended benefits triggered a sharp employment rebound. This remains highly contested—critics argue the estimated macro effects are implausibly large and not robust to specification choices.

Full citation: Hagedorn, Marcus, Fatih Karahan, Iourii Manovskii, and Kurt Mitman. 2025. "The Impact of Unemployment Benefit Extensions on Employment: The 2014 Employment Miracle?" *AEJ: Macroeconomics* 17(4): 168–203. **Link:** <https://doi.org/10.1257/mac.20200239>

Schmieder, von Wachter & Bender (2012, 2016) used German administrative data with a regression discontinuity design to show that UI extensions modestly increase nonemployment durations and reduce reemployment wages by about **0.8% per additional month**, primarily through skill depreciation rather than raised reservation wages.

Full citation: Schmieder, Johannes F., Till von Wachter, and Stefan Bender. 2012. "The Effects of Extended Unemployment Insurance over the Business Cycle." *Quarterly Journal of Economics* 127(2): 701–752. **Link:** <https://www.nber.org/papers/w17813>

Full citation: Schmieder, Johannes F., Till von Wachter, and Stefan Bender. 2016. "The Effect of Unemployment Benefits and Nonemployment Durations on Wages." *American Economic Review* 106(3): 739–777. **Link:** <https://doi.org/10.1257/aer.20141566>

International comparisons show a universal challenge

Low takeup is not unique to the United States. **Hernanz, Malherbet & Pellizzari (2004)** reviewed OECD evidence and found UI takeup rates of **60–80%** across developed countries, with benefit generosity as the most robust predictor. Social assistance and housing benefit takeup was lower (40–80%).

Full citation: Hernanz, V., F. Malherbet, and M. Pellizzari. 2004. "Take-Up of Welfare Benefits in OECD Countries." OECD Social, Employment and Migration Working Papers No. 17. **Link:** <https://doi.org/10.1787/525815265414>

The **ILO (2019)** documented enormous cross-country variation: from under 10% of the unemployed receiving UI in many emerging economies to over 50% in advanced economies. Initial replacement rates range from ~30% (Kazakhstan, Poland) to 90% (Israel, Mauritius).

Full citation: Peyron Bista, C., and J. Carter. 2019. "Unemployment Insurance Schemes Around the World." ILO Working Paper No. 49. **Link:** <https://www.ilo.org/media/406551/download>

The **ILO World Labour Report (2000)** estimated that **75% of the world's 150 million unemployed** lacked any UI protection, classifying the U.S. among "medium-level" systems with replacement rates of 23–58% and incomplete coverage.

Full citation: International Labour Organization. 2000. *World Labour Report 2000*. Geneva: ILO. **Link:** <https://www.ilo.org/resource/news/most-world-lacks-unemployment-insurance>

Comprehensive reform proposals

Wandner (2023) synthesized decades of evidence into the most comprehensive reform blueprint, arguing the system is "broken, out of date, and badly in need of repair." He proposed a 50% wage replacement rate, 26-week minimum duration for all states, a Canadian-type record of employment, and federal standards requiring alternative base periods and part-time work provisions. **O'Leary, Spriggs & Wandner (2022)** in *AEA Papers and Proceedings* specifically addressed equity in UI benefit access.

Full citation: Wandner, Stephen A. 2023. *Transforming Unemployment Insurance for the Twenty-First Century*. Kalamazoo, MI: W.E. Upjohn Institute. **Link:** https://research.upjohn.org/up_press/271/

Full citation: O'Leary, Christopher J., William E. Spriggs, and Stephen A. Wandner. 2022. "Equity in Unemployment Insurance Benefit Access." *AEA Papers and Proceedings* 112: 91–96. **Link:** <https://www.aeaweb.org/articles?id=10.1257/pandp.20221010>

Conclusion: what this literature establishes and what remains unresolved

Five clear findings emerge from four decades of research. First, **the reciprocity decline is real and consequential**—from ~50% in the 1950s to 23% by 2014—driven overwhelmingly by falling takeup among eligible workers rather than shrinking eligibility. Second, **no single factor dominates**: federal taxation of benefits, declining unionization, state policy tightening, employer deterrence through experience-rated appeals, regional and industrial composition shifts, and rising administrative burden each account for meaningful shares. Third, **benefit generosity reliably increases takeup** (elasticity ~0.5), but reducing filing inconvenience alone does not—the barriers run deeper, involving information, stigma, and employer behavior. Fourth, **racial disparities in UI access are large, persistent, and structural**, driven by the intersection of Black workers' lower earnings, Southern residence, and less generous state programs. Fifth, **the**

COVID-19 expansion demonstrated that near-universal reciprocity is achievable when political will exists, but the system reverted to historic lows within two years.

Key unresolved questions include the precise magnitude of social multiplier effects on takeup, whether employer experience rating reforms could meaningfully raise reciprocity without increasing moral hazard, how to design eligibility rules that reach non-traditional workers without pandemic-era emergency programs, and whether the secular decline can be reversed through state-level reforms alone or requires federal structural intervention. The striking finding from Lachowska, Sorkin & Woodbury (2025) that the dominant targeting error is eligible non-claiming—not ineligible receipt—suggests the policy priority should shift firmly from fraud prevention toward access expansion.